WEPROM EUROPE

BUSINESS PROMOTION AND DEVELOPMENT
BETWEEN EUROPE AND LATIN AMERICA

July 2026

MONTHLY REPORT

Trade, investment, and regulations that are redefining the Europe-Latin America corridor.

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The Europe-Latin America corridor in July: the 5 key takeaways

July was a decisive month for the Europe-Latin America corridor. Two major trade agreements moved in opposite directions: one drew closer to final ratification while the other entered a phase of uncertainty, as France and Mexico strengthened their bilateral relationship with concrete investment figures and other regional players, such as Chile, reaffirmed their strategic weight vis-à-vis Europe. Below are the five points that defined the month.

1. The **European Union** completed its internal approval process for the modernized trade agreement with Mexico on **July 14**; its entry into force now depends on Mexico completing its own approval procedure.

2. **The United States** did not confirm a **16-year extension** of the **T-MEC/USMCA** at its first mandatory joint review (July 1); the agreement remains in force until 2036, but under annual reviews.

3. France and Mexico reaffirmed their strategic partnership as part of the bicentennial of their diplomatic relations, while **Safran** announced an additional investment of more than **US$147 million** in Querétaro and Chihuahua.

4. **Twelve French companies** rank among the 500 most important companies in Mexico and together generate more than **59,500 direct jobs**, according to the Expansión ranking published on July 13.

5. Chile solidified its position as the **world's leading combined exporter of lithium carbonate and hydroxide**, in a month in which CEPAL data, published in June as background context, show Europe gaining ground as an investor in Latin America while the United States retreats.

1. Institutional agreements: EU-Mexico and the new T-MEC landscape

July brought two major institutional developments, moving in opposite directions, that are reshaping Mexico's trade map and, by extension, the relative appeal of its different partners.

The EU-Mexico agreement moves toward ratification

- The European Parliament approved, on **July 8**, in plenary session, the conclusion of the modernized trade agreement between the European Union and Mexico, with **479 votes in favor**, 119 against and 65 abstentions.
- The European Union completed its **internal approval process on July 14**. The agreement's entry into force now depends on Mexico completing, for its part, its own internal approval procedure.
- The agreement had been signed on May 22 in Mexico City by Ursula von der Leyen and Claudia Sheinbaum, during the eighth EU-Mexico summit, and replaces the trade framework in force since 2000.
- Among its provisions: elimination of nearly all tariffs, greater access to public procurement markets, protection of **568 European geographical indications**, and facilitation of digital, services, and agri-food trade.
- EU-Mexico bilateral trade already amounts to close to **€100 billion a year**; Mexico is the EU's second-largest trading partner in Latin America.

The T-MEC/USMCA enters a phase of uncertainty

- On **July 1**, the first mandatory joint review of the T-MEC/USMCA took place (Article 34.7), six years after its entry into force. The United States did not confirm an **extension of the agreement for another 16 years**.
- The agreement remains in force until 2036, but now under a scheme of **annual reviews** rather than a long-term extension, introducing a new planning factor for companies with cross-border operations.
- Mexico identified **13 issues or proposals** that it will raise in the next round of negotiations, scheduled for **July 21** in Mexico City, focused on automotive, steel, and supply chains; these talks have so far taken place without Canada's full participation.

Why it matters

- The uncertainty in North America is unfolding in parallel with progress on the EU agreement, reinforcing the case for market diversification for Mexico.
- For European companies already established in Mexico, the modernized agreement offers a more predictable route to market than the T-MEC/USMCA itself at this point.

2. France-Mexico: bicentennial and new investment

Alongside the European institutional developments, July was a month full of bilateral content for the France-Mexico relationship, with two components: a symbolic one, the bicentennial of diplomatic relations, and a very concrete one, new industrial investment and an updated snapshot of the French corporate presence in the country.

Bicentennial of diplomatic relations

- **2026 marks 200 years** of diplomatic relations between France and Mexico. In mid-July, both countries reaffirmed their commitment to strengthening the strategic partnership through a renewed agenda of political, economic, scientific, and cultural cooperation.

Safran expands its industrial footprint in Mexico

- On **July 2**, President Claudia Sheinbaum announced the expansion of Safran's investments, a key supplier to the aerospace industry, in Querétaro and Chihuahua, following a meeting at the National Palace with its CEO, Olivier Andriès.
- According to figures disclosed by **President Claudia Sheinbaum**, the company has allocated more than **US$147 million** to these projects, which have generated **2,300 jobs** in Mexico's aerospace industry.

France's footprint in Mexico, by the numbers

- **Twelve companies** of French origin are included in the 2026 ranking of "Mexico's 500 most important companies," compiled by Expansión and published on July 13, with operations in automotive manufacturing, energy, banking, insurance, healthcare, food, and beauty, among other sectors.
- Together, these twelve companies generate more than **59,500 direct jobs** in the country.
- As background: roughly **700 subsidiaries** of French companies operate in Mexico, generating around 180,000 direct jobs, and France is the largest foreign employer in Mexico's aerospace sector.

Figures of the month: France in Mexico

- **US$147+ million**: Safran's additional investment in Querétaro and Chihuahua.
- **2,300 jobs** generated by that investment.
- **12 French companies** in the ranking of Mexico's 500 most important companies.
- **59,500+ direct jobs** generated by those 12 companies.

3. Institutional agenda and events of the month

July also brought activity on the institutional outreach front and preparations for upcoming milestones, with Business France in a leading role and an announcement that will shape the second-half agenda.

Business France webinar on free trade agreements

- On **July 9**, Business France held a webinar for French exporters on the concrete impact of the European Union's free trade agreements (Mercosur, Chile, and Mexico) on export activity, in partnership with French Customs, the French Treasury, and the French embassy in Brazil.
- The session addressed how these agreements reduce tariffs, remove regulatory barriers, and facilitate access to fast-growing markets, strengthening the competitiveness of French exporters.

The first France Week in Mexico is announced

- France's ambassador to Mexico, Delphine Borione, previewed the organization of the first edition of **“France Week in Mexico,”** organized by **CCI France México** and scheduled for October 2026, with multiple events to celebrate the economic ties between the two countries across all sectors.
- The announcement builds on the same momentum as the bicentennial and confirms a second half of the year packed with institutional activity in the bilateral relationship.

Dates to watch

Jul. 9	Jul. 21	Oct. 2026
Business France webinar on free trade agreements	T-MEC/USMCA negotiation round (automotive, steel, supply chains)	First France Week in Mexico (CCI France México)

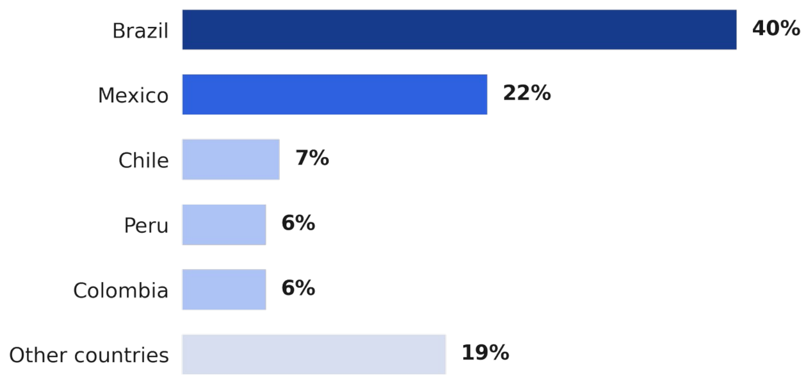
4. Regional outlook: beyond France and Mexico

The Europe-Latin America corridor is not limited to the Franco-Mexican relationship. Two data points help place the month in a broader context: the recent behavior of foreign direct investment in the region, and Chile's performance in a sector strategic to Europe.

Europe gains ground as an investor

- CEPAL's annual report, published in June 2026 and included here as context, shows that Latin America and the Caribbean received **US$194.233 billion** in foreign direct investment in 2025, 1.7% more than in 2024, with mixed results across countries.
- A data point relevant to the corridor: 67% of FDI with identifiable origin came from the United States (35%) and Europe (32%); while inflows from the United States fell **11%** compared to 2024, those from Europe increased.

FDI received in Latin America and the Caribbean by country, 2025



Own elaboration based on CEPAL data.

Chile establishes itself as a lithium powerhouse

- Chile solidified its position in 2025 as the world's leading combined exporter of lithium carbonate and hydroxide, accounting for **46%** of global shipments of these products, according to official figures released on July 14.
- Between January and April 2026, export volume was already **43% higher** than in the same period of 2025, with an average export price 91% higher year-on-year in the first quarter.

5. Regulatory context

We close out the month with the new European framework for screening foreign investment, which is worth keeping on the radar, along with a brief look ahead at what's shaping up in the coming months.

New European framework for screening foreign investment

- **Regulation (EU) 2026/1386**, published on June 26, replaces the 2019 regulation and strengthens the screening of foreign direct investment in strategic sectors of the European Union (technology, energy, defense, and infrastructure), with broader notification requirements and greater coordination among Member States.
- Member States have **18 months** from publication to adapt their national mechanisms to the regulation's new requirements.
- This is a framework worth keeping in mind for any Latin American player considering acquisitions or significant stakes in European assets.

Looking ahead

- The first France Week in Mexico, organized by CCI France México and scheduled for October, will be one of the major institutional milestones of the second half of the year.

WeProm Dossier is WeProm Europe's monthly report on trade, investment, and regulation across the Europe-Latin America corridor.

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